



Our ref: IM-72966

18 June 2025

Dear Interested Party

Re: ACCC seeking your views: IAG's Proposed Acquisition of RACI

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of the Royal Automobile Club of WA Inc's (**RAC**) general insurance business through the acquisition of RAC Insurance Pty Limited (**RACI**) by Insurance Australia Group Limited (**IAG**) (the **Proposed Acquisition**).

IAG and RACI both provide personal lines general insurance, including home and contents and motor insurance.

The ACCC's investigation is focused on the impact of the Proposed Acquisition on competition in Australia and, in particular, in Western Australia. In particular, we are seeking your views on:

- how closely IAG and RACI compete in the supply of personal lines general insurance
- the extent to which alternative suppliers of personal lines home and contents and motor insurance would competitively constrain the merged entity
- the likely impact of the Proposed Acquisition on prices and quality of personal lines home and contents and motor insurance products
- the likely impact of IAG's increased scale on the acquisition of ancillary repair services, including the impact on prices or terms of supply for suppliers.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test the ACCC applies when assessing mergers and acquisitions is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **2 July 2025** via email to mergers@accc.gov.au with the title: *Submission re: IAG - RACI*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the typed name.

Morag Bond
General Manager
Merger Investigations
Mergers Exemptions Assessment Division

Attachment A – Overview of the merger parties and the Proposed Acquisition

IAG

IAG is an ASX-listed (ASX: IAG) general insurance company operating in Australia and New Zealand.

In Australia, IAG provides a range of personal and commercial insurance products directly under various owned brands, including NRMA Insurance, Swann Insurance, ROLLiN', Cylo and Lumley Special Vehicles.

Through its joint venture business, Insurance Manufacturers of Australia Pty Limited (IMA), IAG also issues personal lines insurance in Victoria distributed by its joint venture partner Royal Automobile Club of Victoria (**RACV**).

IAG also provides intermediated insurance through brokers, authorised financial representatives, institutions and agents under the CGU and WFI brands.

IAG also underwrites insurance products distributed by financial institutions under their own brands, including Bendigo and Adelaide Bank, People's Choice Bank and, since 2023, ANZ Bank.

The ACCC recently decided not to oppose IAG's proposed acquisition of RACQ Insurance Limited (**RACQI**) from The Royal Automobile Club of Queensland Limited (**RACQ**).

RAC

RAC is an Australian-based, member-owned organisation that offers roadside products, general insurance products, and other ancillary services to its members. The Proposed Acquisition only includes RAC's motor insurance and home and contents insurance business and does not include RAC's membership-based business, which includes the Club, its roadside assistance business and its other businesses.

RACI underwrites home, contents and motor insurance.

All of RACI's products are distributed through the RAC network via call centres, physical branches (all of which are located in Western Australia) and the RAC website.

Areas of overlap

IAG and RACI overlap in the supply of personal lines general insurance, including home and contents and motor insurance, in Western Australia.

The Proposed Acquisition

IAG is proposing to acquire 100% of the shares in RACI and enter into a 20-year agreement for RAC to exclusively distribute insurance products underwritten by IAG under the RAC brand.

Attachment B – List of questions

1. To better understand your views, describe your business or organisation and explain your interest in the Proposed Acquisition, including any commercial relationship(s) with IAG, RAC or RACI.

Relevant markets

2. The ACCC proposes to consider the impact of the Proposed Acquisition on:
 - a. the supply of home and contents insurance in Western Australia and Australia
 - b. the supply of motor insurance in Western Australia and Australia
 - c. the acquisition of repair services (smash repair services, windscreen repair and replacement services, and home repair services) in Western Australia and Australia.

The ACCC seeks your views on whether the ACCC should consider other markets (or differently defined markets) as part of its analysis.

Home and contents and motor insurance

3. Describe how closely IAG and RACI compete with one another in the supply of home and contents insurance and motor insurance in terms of price, coverage and/or other aspects of their competitive offering. Please also indicate whether you consider IAG and RACI to be each other's closest competitor for any lines of insurance in Western Australia.
4. Describe the current nature and level of competition between IAG and RAC and other providers of personal lines general insurance in Australia and Western Australia. If possible, indicate:
 - a. the key competitors to IAG and RACI, particularly for home and contents and motor insurance
 - b. estimated market shares (broken down by insurance line if possible) in Australia and Western Australia and how these market shares have changed over time
 - c. whether IAG and/or RACI have a reputation for being particularly innovative or aggressive competitors, including the extent to which either or both offer lower premiums, wider coverage or superior service, compared to their competitors
 - d. whether competitors have the ability to expand their insurance offering, particularly by moving into insuring different risk types or asset classes.
5. Explain the extent to which competing suppliers of home and contents and motor insurance would prevent the merged IAG/RACI from increasing premiums, reducing coverage, reducing its product range, or diminishing the service provided.
6. Please comment on the role that insurance brokers and other intermediaries may play in the supply of home and contents and motor insurance.

Entry and expansion

7. Identify any recent or upcoming examples of entry or exit in the supply of home and contents or motor insurance in Australia.
8. Outline the barriers to entering the supply of home and contents and/or motor insurance in Australia and likelihood of new entry. Please comment on whether there are any specific barriers impacting the likelihood of entry or expansion into the supply of home and contents insurance or motor insurance in Western Australia.

Ancillary repair services

9. Describe how closely IAG and RACI compete with one another, and other companies, in the acquisition of ancillary repair services, including smash repairs, windscreen repairs and replacements, and building repairs.
10. Would the merged entity be able to reduce the prices or otherwise degrade the terms on which it acquires ancillary repair services? Please explain why you consider the merged entity would (or would not) be able to do this, including whether competition from other insurers would prevent the merged entity from doing so.

Other information and competition issues

11. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.